



***UNAUDITED CONDENSED
FINANCIAL STATEMENTS
SEPTEMBER 2021***

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 SEPTEMBER 2021	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	30-Sep 2021 KShs '000'	31-Dec 2020 KShs '000'	30-Sep 2020 KShs '000'	30-Sep 2021 KShs '000'	31-Dec 2020 KShs '000'	30-Sep 2020 KShs '000'
Interest income	28,873	29,175	21,159	22,845,064	27,848,575	19,738,586
Interest expense	-	-	-	(8,856,905)	(12,248,980)	(9,337,934)
Net interest income	28,873	29,175	21,159	13,988,159	15,599,595	10,400,652
Fee and commission income	-	-	-	3,433,343	4,170,303	3,044,914
Fee and commission expense	-	-	-	(312,042)	(327,639)	(243,071)
Net fee and commission income	-	-	-	3,121,301	3,842,664	2,801,843
Revenue	28,873	29,175	21,159	17,109,460	19,442,259	13,202,495
Net trading income	-	-	-	2,451,970	3,870,331	3,108,681
Other operating income	6,781,301	3,377,318	3,377,318	299,160	597,119	254,938
Net operating income before change in expected credit losses and other credit impairment charges	6,810,174	3,406,493	3,398,477	19,860,590	23,909,709	16,566,114
Change in expected credit losses and other credit impairment charges	-	-	-	(2,825,040)	(2,472,836)	(2,149,725)
Net operating income	6,810,174	3,406,493	3,398,477	17,035,550	21,436,873	14,416,389
Staff costs	-	-	-	(4,382,560)	(4,555,444)	(3,560,427)
Premises and equipment costs	-	-	-	(359,821)	(428,732)	(319,047)
Other expenses	(20,158)	(31,102)	(20,965)	(3,259,293)	(3,295,865)	(2,454,992)
Depreciation and amortisation expenses	-	-	-	(1,388,710)	(1,525,866)	(1,008,991)
Operating expenses	(20,158)	(31,102)	(20,965)	(9,390,384)	(9,805,907)	(7,343,457)
Operating profit	6,790,016	3,375,391	3,377,512	7,645,166	11,630,966	7,072,932
Share of profit of Joint Venture	-	-	-	450,285	(678,962)	(575,360)
Profit before income tax	6,790,016	3,375,391	3,377,512	8,095,451	10,952,004	6,497,572
Income tax expense	-	(4,805)	(4,721)	(2,357,461)	(2,539,446)	(1,909,290)
Profit for the period	6,790,016	3,370,586	3,372,791	5,737,990	8,412,558	4,588,282
Other comprehensive income	(371)	801	657	(728,872)	596,385	606,833
Total comprehensive income for the period	6,789,645	3,371,387	3,373,448	5,009,118	9,008,943	5,195,115
Profit attributable to:						
Equity holders of the company	6,790,016	3,370,586	3,372,791	5,447,184	8,073,855	4,357,298
Non controlling interest	-	-	-	290,806	338,703	230,984
	6,790,016	3,370,586	3,372,791	5,737,990	8,412,558	4,588,282
Total comprehensive income attributable to:						
Equity holders of the company	6,789,645	3,371,387	3,373,448	4,702,526	8,498,802	4,774,376
Non controlling interest	-	-	-	306,592	510,141	420,739
	6,789,645	3,371,387	3,373,448	5,009,118	9,008,943	5,195,115
Basic and diluted earnings Per share - (KShs)	4.11	2.04	4.08	3.29	4.88	5.27
Dividends Per share - (KShs) - Final	-	2.25	-	-	2.25	-

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)**STATEMENT OF FINANCIAL POSITION**

AS AT 30 SEPTEMBER 2021	COMPANY		
	UNAUDITED 30-Sep 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 30-Sep 2020 KShs '000'
ASSETS			
Cash and balances with central banks	-	-	-
Items in the course of collection	-	-	-
Loans and advances to banks	-	-	-
Loans and advances to customers	-	-	-
Financial assets at fair value through profit or loss (FVTPL)	-	-	-
Financial assets measured at fair value through other comprehensive income (FVOCI)	27,160	28,392	27,484
Other financial assets at amortised cost	-	-	-
Held for sale assets	-	-	-
Investment in Joint Venture	2,515,591	2,515,591	2,515,591
Investment in subsidiaries	30,661,558	26,151,882	25,662,294
Property and equipment	-	-	-
	-	-	-
Intangible assets - Goodwill	-	-	-
Intangible assets - Software	-	-	-
Prepaid operating lease rentals	-	-	-
Tax recoverable	8,412	4,369	-
Deferred tax asset	-	-	-
Due from group companies	846,323	446,059	968,451
Other assets	22,217	4,124	3,332
TOTAL ASSETS	34,081,261	29,150,417	29,177,152
LIABILITIES AND SHAREHOLDERS' EQUITY			
Liabilities			
Deposits from banks	-	-	-
Items in course of collection	-	-	-
Deposits from customers	-	-	-
Tax payable	-	-	2,801
Due to group companies	1,871,398	1,881,272	1,881,272
Other liabilities	97,789	84,324	106,198
Long term debt	-	-	-
Subordinated debt	-	-	-
	1,969,187	1,965,596	1,990,271
Shareholders' equity			
Share capital	1,653,621	826,811	826,811
Share premium	17,561,629	18,390,507	18,390,507
Retained earnings	12,896,433	7,966,741	7,968,945
Revaluation reserve	-	-	-
Fair value reserve	391	762	618
Translation reserve	-	-	-
Statutory credit risk reserve	-	-	-
Defined benefit reserve	-	-	-
Equity attributable to owners of the company	32,112,074	27,184,821	27,186,881
Non-controlling interest	-	-	-
TOTAL SHAREHOLDERS' EQUITY	32,112,074	27,184,821	27,186,881
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	34,081,261	29,150,417	29,177,152

GROUP		
UNAUDITED 30-Sep 2021 KShs '000'	AUDITED 31-Dec 2020 KShs '000'	UNAUDITED 30-Sep 2020 KShs '000'
24,568,154	19,403,419	14,868,572
803,587	622,994	700,735
11,218,587	18,335,440	21,232,816
207,605,440	187,391,266	185,693,796
15,235,224	11,869,403	16,832,543
57,537,405	42,477,252	32,693,016
44,751,280	47,364,625	41,856,388
1,094,336	1,057,056	-
5,183,751	5,177,219	5,194,172
-	-	-
12,651,343	12,121,588	11,852,290
-	-	-
3,159,174	3,155,449	3,154,978
2,656,245	2,436,493	2,402,504
-	-	-
967,563	133,588	1,882,608
5,501,811	4,211,504	3,031,892
-	-	-
6,135,357	2,342,497	3,274,533
399,069,257	358,099,793	344,670,843
9,578,390	6,762,835	9,410,277
179,984	261,363	120,404
288,684,887	262,681,402	252,828,739
236,410	155,863	273,081
-	-	-
7,859,207	5,402,428	6,473,584
10,589,553	10,317,827	7,072,443
9,729,296	4,454,936	4,651,285
326,857,727	290,036,654	280,829,813
1,653,621	826,811	826,811
17,561,629	18,390,507	18,390,507
42,457,820	39,610,553	34,470,753
929,217	929,217	864,772
(582,221)	(36,599)	48,919
(1,485,783)	(1,260,493)	(1,297,855)
7,583,658	5,867,908	7,291,167
(111,570)	(138,561)	(130,158)
68,006,371	64,189,343	60,464,916
4,205,159	3,873,796	3,376,114
72,211,530	68,063,139	63,841,030
399,069,257	358,099,793	344,670,843

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT 30 SEPTEMBER 2021

9 months period to 30 September 2021	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2021	826,811	18,390,507	929,217	(36,599)	5,867,908	(138,561)	5,729,347	39,610,553	(1,260,493)	64,189,343	3,873,796	68,063,139
Net profit after tax	-	-	-	-	-	-	-	5,447,184	-	5,447,184	290,806	5,737,990
Other comprehensive income	-	-	-	(545,622)	1,715,750	26,991	1,742,741	(1,716,487)	(225,290)	(744,658)	15,786	(728,872)
Total comprehensive income for the period	-	-	-	(545,622)	1,715,750	26,991	1,742,741	3,730,697	(225,290)	4,702,526	306,592	5,009,118
Transactions with owners:												
Issue of bonus shares - I&M Group PLC	826,810	(826,810)	-	-	-	-	-	-	-	-	-	-
Other transactions	-	(2,068)	-	-	-	-	-	976,894	-	974,826	24,771	999,597
Dividends Paid	-	-	-	-	-	-	-	(1,860,324)	-	(1,860,324)	-	(1,860,324)
Total transactions with owners for the period	826,810	(828,878)	-	-	-	-	-	(883,430)	-	(885,498)	24,771	(860,727)
Balance as at 30 September 2021	1,653,621	17,561,629	929,217	(582,221)	7,583,658	(111,570)	7,472,088	42,457,820	(1,485,783)	68,006,371	4,205,159	72,211,530

For the year ended 31 December 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Net profit after tax	-	-	-	-	-	-	-	8,073,855	-	8,073,855	338,703	8,412,558
Other comprehensive income	-	-	53,232	237,203	349,516	(37,519)	311,997	(333,558)	156,073	424,947	171,438	596,385
Total comprehensive income for the period	-	-	53,232	237,203	349,516	(37,519)	311,997	7,740,297	156,073	8,498,802	510,141	9,008,943
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	347,799	408,098
Dividends Paid	-	-	-	-	-	-	-	(2,108,367)	-	(2,108,367)	(107,708)	(2,216,075)
Total transactions with owners for the year	-	-	-	-	-	-	-	(2,048,068)	-	(2,048,068)	240,091	(1,807,977)
Balance as at 31 December 2020	826,811	18,390,507	929,217	(36,599)	5,867,908	(138,561)	5,729,347	39,610,553	(1,260,493)	64,189,343	3,873,796	68,063,139

9 months period to 30 September 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Net profit after tax	-	-	-	-	-	-	-	4,357,297	-	4,357,297	230,985	4,588,282
Other comprehensive income	-	-	(11,213)	322,721	1,772,775	(29,116)	1,743,659	(1,756,799)	118,711	417,079	189,754	606,833
Total comprehensive income for the period	-	-	(11,213)	322,721	1,772,775	(29,116)	1,743,659	2,600,498	118,711	4,774,376	420,739	5,195,115
Transactions with owners:												
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	(60,299)	-
Dividends Paid	-	-	-	-	-	-	-	(2,108,368)	-	(2,108,368)	(107,890)	(2,216,258)
Total transactions with owners for the year	-	-	-	-	-	-	-	(2,048,069)	-	(2,048,069)	(168,189)	(2,216,258)
Balance as at 30 September 2020	826,811	18,390,507	864,772	48,919	7,291,167	(130,158)	7,161,009	34,470,753	(1,297,855)	60,464,916	3,376,114	63,841,030

OPERATING SEGMENTS

The Group operations are within five geographical segments, Kenya, Tanzania, Rwanda, Uganda and Mauritius. The table below contains segmental information for the period ended 30 September 2021.

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
30-Sep-21							
Net interest income	10,628,914	856,035	2,147,712	-	355,498	-	13,988,159
Net fee commission and other income	4,891,451	314,647	510,104	-	242,341	(86,112)	5,872,431
Results from joint venture	-	-	-	450,285	-	-	450,285
Operating income	15,520,365	1,170,682	2,657,816	450,285	597,839	(86,112)	20,310,875
Operating expenses	(5,449,740)	(772,937)	(1,313,909)	(5,039)	(546,161)	86,112	(8,001,674)
Depreciation and Amortisation	(901,137)	(130,742)	(270,025)	-	(86,806)	-	(1,388,710)
Net impairment losses on loans and advances	(2,644,968)	(35,225)	(160,219)	-	15,372	-	(2,825,040)
Operating expenses	(8,995,845)	(938,904)	(1,744,153)	(5,039)	(617,595)	86,112	(12,215,424)
Profit before tax	6,524,520	231,778	913,663	445,246	(19,756)	-	8,095,451
Profit after tax	4,607,433	162,245	593,881	445,246	(70,815)	-	5,737,990
Loans and advances to customers	161,039,879	17,191,579	23,603,052	-	5,770,930	-	207,605,440
Deposits from customers	221,635,358	19,423,624	28,696,477	-	18,929,428	-	288,684,887
Total assets	333,748,894	27,043,670	47,175,094	4,692,550	23,018,006	(36,608,957)	399,069,257
Total liabilities	244,431,405	22,488,077	40,644,011	7,165	20,370,668	(1,083,599)	326,857,727

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
31-Dec-20							
Net interest income	11,864,220	1,290,459	2,444,916	-	-	-	15,599,595
Net fee commission and other income	7,001,471	417,217	957,595	-	6,970	(73,139)	8,310,114
Results from joint venture	-	-	-	(678,962)	-	-	(678,962)
Operating income	18,865,691	1,707,676	3,402,511	(678,962)	6,970	(73,139)	23,230,747
Operating expenses	(5,694,512)	(910,269)	(1,604,419)	(8,087)	(3,072)	(59,682)	(8,280,041)
Depreciation and Amortisation	(1,027,297)	(159,424)	(339,131)	-	(14)	-	(1,525,866)
Net impairment losses on loans and advances	(1,616,646)	(252,283)	(603,907)	-	-	-	(2,472,836)
Operating expenses	(8,338,455)	(1,321,976)	(2,547,457)	(8,087)	(3,086)	(59,682)	(12,278,743)
Profit before tax	10,527,236	385,700	855,054	(687,049)	3,884	(132,821)	10,952,004
Profit after tax	8,488,500	274,631	560,678	(687,048)	2,718	(226,921)	8,412,558
Loans and advances to customers	149,675,064	15,101,900	22,614,302	-	-	-	187,391,266
Deposits from customers	218,152,864	17,153,294	27,375,244	-	-	-	262,681,402
Total assets	317,738,409	24,192,273	45,794,544	4,687,258	9,377	(34,322,068)	358,099,793
Total liabilities	230,653,849	20,206,550	39,791,712	3,332	1,674	(620,463)	290,036,654

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
30-Sep-20							
Net interest income	7,794,308	813,756	1,792,588	-	-	-	10,400,652
Net fee commission and other income	5,387,970	317,886	527,112	-	3,898	(71,404)	6,165,462
Results from joint venture	-	-	-	(575,360)	-	-	(575,360)
Operating income	13,182,278	1,131,642	2,319,700	(575,360)	3,898	(71,404)	15,990,754
Operating expenses	(4,487,923)	(676,453)	(1,233,195)	-	(1,921)	65,026	(6,334,466)
Depreciation and Amortisation	(640,671)	(114,694)	(253,616)	-	(10)	-	(1,008,991)
Net impairment losses on loans and advances	(1,838,325)	(110,242)	(200,750)	-	(408)	-	(2,149,725)
Operating expenses	(6,966,919)	(901,389)	(1,687,561)	-	(2,339)	65,026	(9,493,182)
Profit before tax	6,215,359	230,253	632,139	(575,360)	1,559	(6,378)	6,497,572
Profit after tax	4,595,427	162,144	410,890	(581,738)	1,559	-	4,588,282
Loans and advances to customers	147,349,559	15,224,543	23,119,694	-	-	-	185,693,796
Deposits from customers	210,176,049	16,262,381	26,390,309	-	-	-	252,828,739
Total assets	307,108,066	24,280,152	42,247,457	4,797,741	6,755	(33,769,328)	344,670,843
Total liabilities	223,975,352	20,439,863	37,231,481	1,743	330	(818,956)	280,829,813

I&M GROUP PLC (FORMERLY I&M HOLDINGS PLC)
NOTES TO UNAUDITED CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1 REPORTING ENTITY

I&M Group PLC (the "Company") (Formerly I&M Holdings PLC), is a non-operating holding company licensed by the Central Bank of Kenya (CBK) under the Kenyan Banking Act (Chapter 488). The Company is incorporated in Kenya under the Kenyan Companies Act, 2015 and comprises banking subsidiaries in Kenya, Tanzania, Rwanda, Uganda and a joint venture in Mauritius and non banking Subsidiaries in Kenya, Mauritius and Uganda. The consolidated financial statements as at 30 June 2021 comprise of entities in Kenya – I&M Bank Limited, I&M Capital Limited, I&M Realty Limited, I&M Burbidge Capital Limited, Giro Limited, I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited) and Youjays Insurance Brokers Limited; Tanzania - I&M Bank (T) Limited; Rwanda - I&M Bank (Rwanda) Plc, Mauritius - BCR Investment Company Limited and a joint venture - Bank One Limited; and Uganda -Orient Bank Limited, I&M Burbidge Capital (U) Limited (together referred to as the "Group"). The address of its registered office is as follows:

1 Park Avenue
1st Parklands Avenue
P O Box 30238 - 00100
Nairobi

The Company owns the following entities directly:

- (i) Bank One Limited – 50% interest in Bank One Limited, a joint venture in a bank licensed in Mauritius;
- (ii) I&M Bank LIMITED – 100% shareholding;
- (iii) I&M Capital Limited – 100% Shareholding;
- (iv) I&M Realty Limited – 100% Shareholding;
- (v) BCR Investment Company Limited – 100% Shareholding;
- (vi) I&M Burbidge Capital Limited – 65% Shareholding;
- (vii) Giro Limited – 100% Shareholding, and;
- (viii) I&M Bank (Uganda) Limited (formerly Orient Bank Limited) – 90% Shareholding.

Through I&M Bank LIMITED, the Company has:

- (i) 77.80% (2020 - 70.38%) shareholding in I&M Bank (T) Limited;
- (ii) 100% shareholding in I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited) (incorporated on 23 July 2014),
- (iii) 100% shareholding in Youjays Insurance Brokers Limited (effective 31 March 2018) through I&M Bancassurance Intermediary Limited (formerly I&M Insurance Agency Limited).

Through BCR Investment Company Limited, the Company has 54.47% effective shareholding in I&M Bank (Rwanda) Plc as BCR Investment Company Limited (Mauritius) owns 54.47% shareholding in I&M Bank (Rwanda) Plc;

Through I&M Burbidge Capital Limited, the Company has 65% effective shareholding in I&M Burbidge Capital (U) Limited as the Company is 100% owned by I&M Burbidge Capital Limited.

2 BASIS OF PREPARATION

The principal accounting policies adopted in these consolidated quarter one financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2020.

These half year financial statements should be read together with the 2020 Audited Annual Financial Statements.